Higher education in the United States is financed through several major sources. These include government support, tuition and fees paid by students, grants and contracts, private donations and investments, and income from university services such as hospitals, housing, dining, and other auxiliary enterprises. The importance of each source is different depending on whether an institution is public, private nonprofit, or private for-profit. The following analysis uses fiscal year 2024 data from the National Center for Education Statistics (NCES) Integrated Postsecondary Education Data System (IPEDS).

Public Four-Year Institutions

Public four-year colleges and universities receive money from a combination of government support, tuition and fees, grants and contracts, investments, private gifts, and university-related services. In FY2024, public four-year institutions reported approximately $490.9 billion in total revenues and investment return. Government support was approximately $164.8 billion, or about 33.6% of total revenue. This includes government appropriations and government grants and contracts. State and local governments provided most of this support, although federal funding was also important. Students also provide an important source of funding. Net tuition and fees were approximately $75.9 billion, or 15.5% of total revenue. Public four-year institutions also received approximately $68.9 billion from investment income, gifts, and related private sources. Another major source was university services. Sales and services of hospitals generated approximately $86.3 billion, while auxiliary enterprises generated approximately $31.2 billion.

Public four-year institutions also spent large amounts of money providing education and other services. Their FY2024 total expenses were approximately $443.8 billion. Instruction was the largest expense category, at approximately $106.7 billion, or 24.0% of total expenses. Hospital services accounted for approximately $80.3 billion, or 18.1%, while research accounted for approximately $53.2 billion, or 12.0%. Institutional support accounted for approximately $35.9 billion, academic support for $35.3 billion, and auxiliary enterprises for approximately $38.3 billion.

This shows that public four-year universities do not depend only on tuition. Government funding, research, medical services, investments, and other university activities are also important sources of revenue.

Public Two-Year Institutions

Public two-year institutions, such as community colleges, have a different funding structure. In FY2024, public two-year institutions reported approximately $61.2 billion in total revenues and investment return. Government support was the largest source, at approximately $44.7 billion, or about 73.1% of total revenue. State and local governments provided approximately $35.1 billion, while federal sources provided

approximately $9.6 billion. Tuition is much less important at public two-year institutions than at many private institutions. Net tuition and fees were approximately $7.1 billion, or 11.5% of total revenue. Investment income was approximately $1.7 billion, while gifts and other private sources also contributed to the overall revenue of these institutions.

Public two-year institutions reported approximately $54.6 billion in total expenses in FY2024. Instruction was the largest spending category, at approximately $20.8 billion, or 38.0% of total expenses. Institutional support accounted for approximately $9.1 billion, or 16.6%, while student services accounted for approximately $6.4 billion, or 11.6%. Scholarships and fellowships accounted for approximately $5.1 billion, academic support for $4.7 billion, and auxiliary enterprises for approximately $1.7 billion.

The funding pattern of public two-year colleges therefore shows a strong dependence on government funding. This is different from private institutions, where students and private sources generally provide a much larger share of revenue.

Private Nonprofit Four-Year Institutions

Private nonprofit four-year colleges and universities rely more heavily on tuition, private support, investments, and other private sources than public universities do. In FY2024, private nonprofit four-year institutions reported approximately $326.2 billion in total revenue and investment return. Tuition and fees provided approximately $85.2 billion, or 26.1% of total revenue. Investment return provided approximately $60.4 billion, or 18.5%. Private gifts provided approximately $25.0 billion, while private grants and contracts provided approximately $8.8 billion. Together, these sources show the important role of private funding. Government funding was also important. Government appropriations and government grants and contracts together provided approximately $31.95 billion, or about 9.8% of total revenue. Federal government grants and contracts accounted for most of this government funding, particularly for research.

Private nonprofit four-year institutions reported approximately $282.6 billion in total expenses in FY2024. Instruction was the largest expense category, at approximately $77.0 billion, or 27.2%. Hospital services accounted for approximately $48.4 billion, or 17.1%, while research accounted for approximately $31.1 billion, or 11.0%. Institutional support accounted for approximately $35.2 billion, academic support for approximately $23.6 billion, and student services for approximately $23.1 billion.

The private nonprofit model therefore depends more heavily on tuition, investments, donations, and other private revenue than the public community-college model.

Private For-Profit Four-Year Institutions

Private for-profit four-year institutions have an especially tuition-dependent financing system. In FY2024, these institutions reported approximately $12.9 billion in total revenue and investment return. Tuition and fees provided approximately $11.9 billion, or 92.5% of total revenue. Government grants and contracts provided approximately $201 million, while investment income and gains provided approximately $108 million. Other revenue sources included educational activities, auxiliary enterprises, and other services.

Private for-profit four-year institutions reported approximately $11.3 billion in total expenses in FY2024. Institutional support was the largest expense category, at approximately $3.7 billion, or 32.5% of total expenses. Student services accounted for approximately $2.6 billion, or 22.8%, while instruction accounted for approximately $3.0 billion, or 26.8%. Academic support accounted for approximately $1.2 billion.

Compared with public and private nonprofit universities, for-profit institutions have a much greater dependence on tuition revenue and a much smaller role for philanthropy and investment income.

Other Institutions

The remaining categories show additional differences in the U.S. higher education financing system. Public institutions offering less than two years of education reported approximately $1.3 billion in FY2024 revenue and investment return. Government appropriations and government grants were important sources of funding, while tuition and fees accounted for approximately 14.5% of total revenue.

Private nonprofit two-year institutions reported approximately $993 million in total revenue. Tuition and fees were the largest source, accounting for approximately 75.9% of revenue. Private nonprofit institutions offering less than two years reported approximately $149 million, with tuition and fees accounting for approximately 64.7%.

Private for-profit two-year institutions reported approximately $3.9 billion in FY2024 revenue and investment return. Tuition and fees accounted for approximately 92.1% of this revenue. Private for-profit institutions offering less than two years reported approximately $3.3 billion, with tuition and fees accounting for approximately 89.7%.

These figures demonstrate that smaller private institutions, especially for-profit institutions, are highly dependent on tuition and fees, while public institutions depend more heavily on government funding.

Overall Comparison

The major difference between the types of institutions is where their money comes from. Public institutions depend more heavily on government funding, especially two-years public colleges. Private nonprofit institutions depend more on tuition, investments, gifts, grants, and other private sources. Private for-profit institutions depend primarily on tuition and fees.

Spending also varies by institution. Instruction is one of the largest expenses across nearly all institution types because teaching is the central purpose of higher education. Research is particularly important at many four-year universities, while hospital services can represent a very large expense and revenue category at universities with medical centers. Community colleges spend a particularly large share of their budgets on instruction and student-related services.

Overall, the U.S. higher education system does not have one single financing model. Instead, it is a combination of government funding, student payments, private support, research funding, investments, and income from university services.

Proposed Changes to Higher Education Finance

If I were designing the higher education financing system in the United States, I would keep a combination of government funding and student contributions. However, I would make government support more targeted toward students and public institutions that need it most.

First, I would increase stable government funding for public colleges, especially community colleges and institutions serving large numbers of low- and middle-income students. Students would still contribute toward their education, but tuition assistance would depend more on family income. Low-income students would receive enough grants to cover most or all of their tuition at public institutions, while middle-income students would receive partial assistance. Higher-income students would receive less need-based aid.

I would also strengthen Pell Grants and make student loans safer. Grants should come before loans because grants do not have to be repaid. Students who still need loans should receive clear information about their expected debt and monthly payments, with payments adjusted according to their income.

Finally, I would provide additional funding for community colleges and career programs in areas such as healthcare, information technology, data analytics, skilled trades, and advanced manufacturing. I would also require colleges to provide clearer financial information so students and taxpayers can understand how institutions receive and spend their money.

My $50 Billion Proposal

I would increase government investment in higher education by $50 billion per year. This would be an additional investment rather than replacing existing funding.

- $20 billion would go toward need-based grants for low- and middle-income students.
- $10 billion would go to community colleges and workforce programs.
- $10 billion would increase stable funding for public four-year colleges and universities.
- $5 billion would support student-success and completion programs.
- $5 billion would support emergency student aid and financial transparency.

I chose $50 billion because the goal is not to make college completely free for everyone. Instead, the goal is to provide a meaningful increase in public support while keeping students responsible for part of the cost. The funding would also be targeted toward public institutions and students who need it most rather than providing the same subsidy to every college.

This approach is supported by the current funding structure. Public four-year institutions receive a much larger share of their revenue from government than private nonprofit institutions, while public two-year institutions receive an especially large share from government funding. In FY2024, government sources represented about 33.6% of revenue at public four-year institutions and about 73.1% at public two-year institutions.

I would therefore focus the additional $50 billion primarily on public higher education and students rather than broadly subsidizing private colleges. Private nonprofit colleges can continue to rely on their combination of tuition, investments, donations, grants, and other revenue sources. Private for-profit colleges, which receive the overwhelming majority of their revenue from tuition, would also not receive a general government subsidy under my proposal.

The main goal of my system is to make higher education more affordable while maintaining student contributions, encouraging college completion, and using government money where it can provide the greatest public benefit.

Sources

National Center for Education Statistics. (n.d.). *Table 5. Amount and percentage distribution of revenues and expenses at Title IV institutions and administrative offices...* U.S. Department of Education, Institute of Education Sciences. Retrieved September 12, 2026, from IPEDS Table View.